

One set of rules, seen by everyone

What Charlie, Ned and Bryan each get, why, and how it was worked out

This page and the ones after it are the same document for all three people. It states every arrangement as a formula, a percentage or a rule - never as an exact dollar figure - so that seeing it costs nobody their privacy, and agreeing to it does not require anybody to disclose a number they would rather keep to themselves. Each person's own workbook, with real dollars, stays private to them. This document is the part that has to be public: the rules those private numbers are built from.

The standard here is simple: the numbers come from one shared model, not from memory or from whoever argues hardest. If a rule cannot be shown on the model, it is not a rule yet.

Who does what, and who decides

A business that depends on one person to sell, estimate, run the crews and make every call is not a business that can grow past that person. The roles below exist to fix that - not to take anything away from Charlie, but to give him a company that keeps running on the days he is not in it.

Area	Charlie (Owner)	Ned (Growth & Ops Lead)	Bryan (COO)
Customers & pricing	Final say - always	Runs marketing & the pipeline	Recommends, does not set
The field - crews, quality, safety	Sets the standard	-	Owens it day to day
The software & the numbers	Uses it	Builds & runs it	Uses it to run crews
Hiring foremen & laborers	Final say above foreman	-	Runs it
Equipment & capital purchases	Final say - always	Recommends financing	Recommends purchases
Borrowing & owner distributions	Final say - always	-	-
What each is paid	Decides Charlie's own draw	Formula below, not negotiated case by case	Formula below, not negotiated case by case

Nothing above is a demotion for Charlie. It is a list of the things that stop happening the moment he is the only one who can do them - and the reason a company this size needs a second and third set of hands with real authority, not just more hours from the same person.

How everyone is paid - as shares, not dollars

Every number below is a percentage, a multiple or a formula on the shared model - never a dollar figure. Anyone can check any of these against the model at any time; nobody has to take anyone else's word for it.

Person	What decides their pay	Rule
Charlie	His own draw, set on the Assumptions tab	His to set. Reviewed alongside the business's cash position every year - see the Write-offs & taxes tab for how legitimate deductions bring the taxed amount down.
Ned	A fractional base, stepped by year, plus a growth share	Growth share = 10% of operating profit ABOVE the level the business earns before this arrangement starts. Nothing on what Charlie already makes; the share only exists if growth happens.
Ned	A profits interest - equity, not salary	15% of the value CREATED above a hurdle set the day he starts. Zero below that hurdle. Pays only on a sale or a buyout, taxed as a capital gain.
Bryan	A base salary that steps with the size of the company	Four bands, tied to revenue thresholds, not the calendar - the raise happens when the business gets there. Until year 2 he is paid hourly for the hours he actually works (about 24 a week while the bar is still his); the salary bands and the bonus start the year he goes full-time.
Bryan	A bonus on operational targets he controls	22% of base at target - crew-day profit, job margin, callbacks, crews staffed. Deliberately NOT tied to net profit, which the owner controls through discretionary spending.
Bryan	Equity - earned over time, not given on day one	12% of the company, vesting over 4 years with a one-year cliff. Nothing at all if he leaves inside twelve months.

The exact dollars behind every one of these rules live in each person's own private workbook, built so that person can change the underlying assumptions and see the effect - and so nobody else's numbers are visible in it. This page is the part everyone needs to see and agree to; the dollar figures are the part only the person concerned needs.

If somebody leaves - the buyout, agreed in advance

Every equity or profit-sharing arrangement in this company comes with a buyout formula, decided now, in writing, while everyone still likes each other - not improvised later during an argument or a falling-out.

The formula

- An internal buyout (nobody outside the company involved) is priced at a **20% minority discount** off the formula value - a stake nobody else can buy is worth less than a proportionate slice of the whole.
- Paid as a lump sum, or spread over 3, 5 or 7 years at roughly what the company itself can borrow at - the company's choice, never longer than 7 years.
- The company has the first right to buy. If it declines, the other partners may. If they decline too, the stake can be offered outside, with the company keeping the right to match.
- A departure **for cause** forfeits unvested value; vested value is still bought, at the lower of cost or formula. Cause is defined narrowly - see the obligations page - and does not include a disagreement, a bad quarter, or the plan not working.
- Death or disability is a good-leaver event: full formula value, paid to the estate on the same terms.
- Any dispute over the number goes to the company's CPA, whose determination is binding on everyone. Two friends and a family member have no better way to break a tie, and a courtroom is worse for all three.

This page describes the RULE, not the price. The price is a live formula in the model, tied to what the company is actually worth that year - it changes every year the company does, and it is visible to whoever it applies to in their own file.

What everybody owes everybody

Because this is family and a twenty-five-year friendship as much as it is a business, the obligations below are written down on purpose - not because anyone expects trouble, but because an unwritten understanding is the single most common thing that ends a business relationship between people who like each other.

The 5-step ladder - slack built in on purpose

- **Step 1:** a private conversation. Free, no consequence, no record.
- **Step 2:** a written note if it is still happening after 30 days. Still no consequence - just now on paper.
- **Step 3:** a 90-day cure period, with what 'fixed' looks like agreed IN ADVANCE, not decided after the fact.
- **Step 4:** a real consequence - but only on a SECOND miss within 12 months. Vesting pauses; nothing already earned is ever clawed back.
- **Step 5:** a clean, no-fault separation on 90 days' notice, at the buyout formula price. Not a punishment - a way out that does not require anyone to be the villain.

What is NOT cause for any of this

Being wrong, being late once, losing an argument, a bad quarter, or the plan simply not working are explicitly NOT cause for anything above Step 3. The list of what actually is cause (dishonesty about money, working against the company, a safety violation that risks somebody's life, a criminal act, or complete abandonment of the role) is short and deliberately narrow, and it is the same list in Ned's file and in Bryan's file - not two different standards.

Charlie is held to the same standard on his side: pay on time, open books, and actually running the agreed plan rather than quietly declining to take the steps that let anyone else's share be earned. This is not a one-way document.

Charlie's tax and payment strategy - the structure, not the total

Charlie's draw is his own number to set. What is shared here is not the dollar amount but the STRUCTURE around it - the categories of legitimate deduction available to any owner of this kind of business, and the payment approach the company uses. Both are visible to everyone because neither one is a secret; a CPA confirms every figure before any of it is relied on.

Category	What it is	Rule used here
Vehicle	IRS standard mileage, 2026 rate	Applied to logged business miles - covers gas, repairs, insurance and depreciation in one number; not double-counted against fuel.
Meals	Business meals with a documented purpose	50% deductible under current law - receipts kept, not reconstructed later.
Home office	Simplified method	Only claimed if a space is used regularly AND exclusively for the business.
Health insurance	Self-employed premiums	Above-the-line, capped at net business profit.
Retirement	SEP-IRA or Solo 401(k)	15% of the draw by default - money kept, not lost, just not taxed yet.
Cards & credit	Business card for fuel, materials and supplies, paid in full monthly	Roughly 2% blended value back in rewards/fleet discounts, and it is how the company builds its own credit profile rather than relying on Charlie's personal one.

None of this changes what anyone else is owed - it changes how much of the business's profit is taxed away before anyone's share is calculated on what is left. That is exactly why it belongs on a page everyone sees: it affects the size of the pie, not who gets which slice.

Sign-off

This document is generated directly from the shared financial model - the same model each person's own workbook is built from. If a number here is ever in doubt, the model is the tie-breaker, not anyone's memory of a conversation.

Reviewed and agreed	Date
Charlie Mascagni (Owner)	
Ned Pearson (Growth & Operations Lead)	
Bryan Rogers (Chief Operating Officer)	

Nothing in this document takes effect until all three people named on it have seen it and agreed to it. Any one of the three can ask for any rule here to be changed before signing - the whole point of writing it down now is that changes are cheap before everyone commits, and expensive after.